

NexaHome Loan Policy

Retail Lending Policy | Home Loans | Product code NEXA-HL

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Version	3.0
Effective from	2025-10-01
Effective to (this version)	Open (see clause 10.3 for amendments)
Supersedes	POL-HL-V2
Owner	Head of Retail Credit Policy, NexaBank

1. Purpose and scope

1.1 Purpose. This policy sets out the eligibility, pricing, fees, security and prepayment terms for NexaHome Loan, a loan for the purchase, construction, extension or improvement of a residential property, or the balance transfer of an existing home loan.

1.2 Applicability. The version of this policy in force on the **sanction date** of a loan governs that loan for its life, except where a later instrument expressly states otherwise. Applications received under an earlier version but sanctioned after the effective date are governed by this version.

2. Definitions

2.1 Defined terms. **NRLR** means the NexaBank Repo-Linked Rate published on the Rate Card. **Bureau Score** means the credit bureau score on the 300 to 900 scale pulled at the time of sanction. **FOIR** (Fixed Obligation to Income Ratio) means total monthly fixed obligations including the proposed EMI divided by net monthly income. **Net monthly income** means verified monthly take-home income for salaried applicants. **Sanction date** means the date on the sanction letter. **Outstanding principal** means principal disbursed less principal repaid.

3. Eligibility

3.1 Age. Minimum age at application is 21 years. Maximum age at application is 62 years for salaried applicants and 65 years for self-employed applicants. Age at loan maturity must not exceed 70 years (salaried) or 75 years (self-employed).

3.2 Minimum income. Salaried applicants must have net monthly income of at least ₹30,000. Self-employed applicants must have annual income of at least ₹5,00,000 as shown in the latest income tax return.

3.3 Bureau score. The minimum Bureau Score for the standard rate card is 675. For scores below 675, applications below this score are referred to manual underwriting and no standard rate is quoted.

3.4 FOIR limit. The maximum FOIR depends on net monthly income as shown below.

Net monthly income	Maximum FOIR
Below ₹1,00,000	50%
₹1,00,000 to ₹2,49,999	55%
₹2,50,000 and above	60%

3.5 Applicant categories. The standard criteria in this policy cover salaried and self-employed applicants only. Other categories, including pensioners and those with no regular income, are outside the standard criteria and are handled by the branch on an exception basis.

4. Loan amount and tenure

4.1 Loan amount. Minimum loan amount is ₹5,00,000. Maximum loan amount is ₹7,50,00,000.

4.2 Tenure. Minimum tenure is 60 months (5 years). Maximum tenure is 360 months (30 years), subject to the age at maturity limits in clause 3.1.

5. Interest rate

5.1 Benchmark. The floating interest rate is the NRLR on the sanction date plus the spread in clause 5.2. The NRLR history is published on the Rate Card.

5.2 Spread by Bureau Score. The spread over NRLR depends on the Bureau Score at sanction.

Bureau score band	Spread over NRLR (per annum)
800 to 900	1.90%
750 to 799	2.20%
700 to 749	2.70%
675 to 699	3.25%

* The Bureau Score at sanction applies, not the score at application.

5.3 Rate reset. The floating rate is reset quarterly, on the first day of January, April, July and October following any change in NRLR. The EMI is held constant and the tenure adjusts, unless the borrower asks for an EMI revision.

5.4 Fixed-rate option. The fixed-rate option has been discontinued for sanctions on or after the effective date of this version. Loans sanctioned earlier under the fixed-rate option continue on the terms of the version in force on their sanction date.

6. Fees and charges

6.1 General. All fees are exclusive of GST at 18%, which is charged additionally. Fees, once paid, are non-refundable except where this policy states otherwise.

6.2 Processing fee. Processing fee is 0.35% of the sanctioned loan amount, subject to a minimum of ₹5,000 and a maximum of ₹15,000, plus GST.

6.3 Legal and technical charges. A non-refundable charge of ₹6,000 plus GST covers legal verification and technical valuation of the property.

6.4 Penal charges. Overdue amounts attract a penal charge of 2.00% per annum over the contractual interest rate, calculated on the overdue amount only. Penal charges are not compounded.

6.5 Other costs. Stamp duty, registration charges and insurance premiums are payable by the borrower at actuals and are not NexaBank fees.

7. Security and loan to value

7.1 Security. The loan is secured by a first mortgage on the residential property being financed. The property must have a clear and marketable title.

7.2 Loan to value (LTV). The maximum LTV depends on the loan amount and is applied to the lower of the agreement value and NexaBank's technical valuation.

Loan amount	Maximum LTV
Up to ₹30,00,000	90%
Above ₹30,00,000 and up to ₹75,00,000	80%
Above ₹75,00,000	75%

7.3 Property insurance. The borrower must keep the property insured against fire and allied perils for the loan tenure.

8. Prepayment and foreclosure

8.1 Foreclosure, floating rate. No foreclosure charge applies on a floating-rate loan, whether foreclosed from own funds or by balance transfer.

8.2 Foreclosure of fixed-rate loans. New sanctions are floating-rate only. Loans sanctioned under an earlier version's fixed-rate option keep the foreclosure terms of that version.

8.3 Part prepayment. Part prepayment is allowed at any time. The minimum part prepayment amount is ₹25,000. No charge applies on a floating-rate loan.

8.4 Notice. The borrower must give 3 working days notice for foreclosure or part prepayment.

9. Documentation and KYC

- 9.1 KYC.** Sanction and disbursal require a verified KYC status as defined in POL-OPS-001.
- 9.2 Income documents.** Salaried applicants provide recent salary slips and six months of bank statements. Self-employed applicants provide two years of income tax returns and business proof.

10. Document control

10.1 Version history.

Version	Effective from	Effective to	Note
1.0 (POL-HL-V1)	2023-04-01	2024-03-31	First issue
2.0 (POL-HL-V2)	2024-04-01	2025-09-30	Supersedes v1.0
3.0 (POL-HL-V3)	2025-10-01	Open	Supersedes v2.0

10.2 Supersession. Supersedes POL-HL-V2 (v2.0) for all loans sanctioned on or after 2025-10-01.

10.3 Amendment by circular. Individual clauses of this policy may be amended by a numbered circular. Where a later circular names a clause of this policy, the circular prevails for that clause for the sanctions it covers, and all other clauses continue unchanged.